FREE-RIDING IN AUSTRALIA

Peter Haynes[1], *Peter Holland*[2], *Amanda Pyman*[3], *Julian Teicher*[2]

1. University of Auckland, NZ
2. Monash University, Melbourne, Australia
3. University of Kent, UK

p.haynes@auckland.ac.nz

ABSTRACT

This paper analyses free-riding on Australian unions. It draws on the Australian Worker Representation and Participation Survey 2004. We find high levels of free-riding in Australian workplaces and the motives of non-members to be mixed. Of the 39.2% of workers eligible to join a union who are not members, 51.7% may be characterised as deliberately free-riding to some extent. Similar proportions of non-members may be classified as 'passive beneficiaries' of unions. The reasons given by union members for joining support the private incentive good, and, to a lesser extent the social customs motives for joining. 'Technical free-riders' are disproportionately younger, less well-paid, in part-time employment, and have shorter tenure. We estimate the independent effects of potential explanatory variables using logistic regression. Of the personal characteristics only organisational tenure retained significance. Lower reported workplace union density and lower value placed on union workplace presence were positively related to free-riding; employee needs, employee political ideology and management attitude to unions were not. We compare these findings to those of a similar study for the UK and New Zealand, and conclude with a discussion of the problems for union organising and renewal posed by our findings.

1 INTRODUCTION

As in comparable 'open shop' labour market regimes (Bryson, 2006), large and increasing numbers of Australian workers take 'free rides' on trade union membership, gaining the benefits of union coverage without contributing to the costs of provision (Peetz, 2005).[1] Free-riding deprives unions of both material resources that could be devoted to organising, and power resources at the bargaining table and in the political arena, and is typically viewed by unionists as unfair and inequitable. Bargaining fee arrangements designed to counter, or compensate for, the practice raise questions of freedom of association. Free-riding has therefore provoked much controversy in Australia in recent years.

Drawing on the Australian Worker Representation and Participation Survey 2004 (AWRPS 2004), we gauge the location and nature of free-riding in Australia. AWRPS 2004 asked workers about their preferences for union membership and their reasons for joining and not joining unions. We begin with a discussion of the meaning of free-riding drawing on prior research, and the relevant background in Australia. We then move to an explanation of the method and sample used for the survey, and report results on the location and nature of free-riding in Australia. The final section discusses the implications for public policy and union strategy.

[1]The term 'open shop' implies the absence of any compulsion towards union membership. 'Closed shop' is used here to refer to both pre- and post-entry closed shops.

2 DISCUSSION

2.1 PRIOR LITERATURE

Free-riders may be broadly defined as those who enjoy the benefits of group action without contributing to the costs. Drawing on the theory of public goods (i.e., goods whose consumption is 'non-excludable' and 'non-rival'), Olson (1965) outlined the problems that free-riding behaviour presents for unions: in the absence of compulsory membership or benefits from which non-members are excluded, large organisations such as unions will not be able to recruit 'rational, self-interested individuals' in the face of opportunities to consume the non-excludable benefits of membership without incurring the pecuniary and non-pecuniary costs.

According to this logic, unions need to develop a range of secondary, excludable services (i.e. 'private incentive goods') that meet the needs of individual members, or face demise. Some of the benefits provided by unions, such as advice and representation for individual workers subject to disciplinary action, are clearly excludable. Booth and Chatterji (1995, p. 353) find evidence that a number of union-negotiated benefits, which 'might be targeted to unionised workers or groups of workers', have an important effect on union density in the absence of closed shop rules. Specifically, they estimate the effects of unions negotiating over physical working conditions, staffing levels, redeployment within the establishment and formal grievance procedures for disciplinary disputes, and also the influence of unions on managerial control over work organisation. An alternative strand of the literature considers 'social custom' as a solution to the free-rider paradox. Booth (1985) theorises that the reputation effect gained from conforming to the group norm of membership is an excludable incentive to unionise (see also Naylor & Cripps, 1993). Our data allow us to test directly whether these forms of excludable or private benefits influence union joining behaviour relative to other motivations.

Nonetheless, unions influence a range of non-excludable terms and conditions of employment other than wage increases. The scope of joint regulation in the workplace may be considerably greater than that defined by collective bargaining coverage. Recognising this, Haynes and Boxall (2004, p. 49) define a free-rider 'as an employee who derives benefit because their work category is primarily regulated by a union-negotiated collective agreement, but who does not join the union or otherwise contribute to the costs of negotiating the prevailing agreement'. We adopt this definition in the analysis below.

However, it is likely that recipients of union-negotiated benefits value them differently, if at all (Naylor & Cripps, 1993). As a result, the net cost or benefit that they perceive themselves deriving from union membership differs. For example, young workers may value union-negotiated grievance procedures less highly because they are more inclined to use exit strategies to advance their interests. We follow Haynes and Boxall (2004) in describing non-union workers who may be in a position to join a union in their workplace as 'technical free-riders', recognising that they may not be union members for reasons other than to receive a benefit without paying the cost. We then distinguish between those who are motivated, at least in part, by a desire to gain a benefit without contributing to the cost, whom we term 'calculating free-riders', and those who are 'passive beneficiaries' (following Haynes & Boxall, 2004). In the US context, where union-negotiated contractual conditions are automatically passed on by law, Sobel (1995) similarly distinguishes between 'true free-riders', who value the benefits of their union coverage more than the cost, and 'induced riders' who value the benefits of union coverage less than the costs of membership and who would opt out of the union job if required to pay dues. We therefore anticipated that in our cross-sectional sample, we would find a variety of motivations for joining and not joining where there is a union available to join, and that a number of these would prevail over the demographic and worker characteristics included in our analysis as correlates of free-riding behaviour.

2.2 FREE-RIDING IN AUSTRALIA: BACKGROUND

For Australian unions, free-riding has been, as O'Neill and Shepherd (2003) suggest, 'a thorn in the side' since the 1930s. Historically, the award system extended collective bargaining to a large group of non-union workers, both enabling such workers, and giving them an incentive, to free-ride on benefits achieved through union bargaining. Industrial awards bound employers in respect of all eligible employees, whether union members or not. Although their role as the principal representatives of employees was seldom questioned, and registered unions enjoyed extensive union security arrangements, including award preference clauses, unions were unsuccessful in seeking to exclude non-members from award coverage where they attempted this. Unions generally acquiesced to universal coverage, recognising that this prevented a situation where employers might be driven by a high union wage premium to undermine union membership by opting for lower cost, non-union labour.

The decline of compulsory union membership, as Peetz (1998) has shown, was a key component of the 'institutional break' in the 1980s and 1990s that allowed union density to move towards equilibrium level and in which free-riding played a key role. As union density fell within unionised workplaces and the coverage of prevailing awards remained relatively constant, so free-riding increased. Union density in the non-agricultural workforce fell between 1982 and 1990 from 50.1% to 41.1%, but award coverage appears to have fallen at a much slower rate amongst these workers, from 86% in 1983 to 80.0% in 1990.[2] Although the data sets used do not allow a precise comparison, it is clear that by the 1980s free-riding had reached high levels and was increasing. In 1982/3 it appears to have exceeded two-fifths of award coverage, rising to around a half by 1990. In the present study we estimate that in 2003–4, 39.2% of those workers who had a union at their workplace that they could join were not members.

Australian unions responded to free-riding in various ways. In the 1990s, the ACTU initiated travel, legal and financial services to broaden the appeal of union membership (Holland, 1999). As Peetz (2005) has argued, however, selective union-only benefits have a chequered history in Australia, and by and large, evidence of their success is inconclusive. Furthermore, exclusive services do not prevent free-riding on the major benefits obtained by unions through collective bargaining: terms and conditions of employment. In addition, following the success of the Electrical Trades Union (ETU) of Victoria in negotiating bargaining fees, a policy endorsing such fees was agreed at the national congress of the ACTU in 2000 (Orr, 2001). Employer groups and the Federal Government opposed bargaining fees, arguing that they breached the freedom of association principles underpinning the prevailing industrial relations regime (e.g., ACCI, 2002). Eventually, bargaining fees were ruled outside the scope of the employment relationship [*Electrolux Home Products Pty Ltd v Australian Workers Union* [2004] HCA 40 (2 September 2004)] and outlawed in certified agreements by the Workplace Relations Amendment Act (Prohibition of Compulsory Fees) Act 2002 (Cth.).

2.3 METHOD & DATA

The data are drawn from AWRPS 2004. This survey of 1,000 Australian workers was adapted to the Australian context from similar surveys in the US (Freeman & Rogers, 1999), Britain (Diamond & Freeman, 2002), and New Zealand (Haynes et al., 2003). Respondents were surveyed nationally using computer-assisted telephone interviewing (CATI) techniques between October 2003 and March 2004. The sample was limited to Australian residents in paid employment of more than ten hours per week who had left

[2] Union density is calculated from Labour Force Survey data (Australian Bureau of Statistics, 1983; 1990), adjusted to exclude agricultural, forestry, fishing and hunting workers to enhance comparability with award coverage estimates. Award coverage is provided by the Survey of Award Coverage (Supplementary Survey to the Employee Earnings and Hours Survey; Australian Bureau of Statistics, 1985; 1991).

secondary school. The sample was stratified by Australian state/territory to reflect the geographical distribution of the population as reported in the 2001 Census.

Sixty percent of respondents were female and the mean age was 41.5 years (SD = 11.41). The mean number of hours worked per week was 36.5 (SD = 12.19), with 67% of respondents engaged in full-time work (35 hours or more per week). Majorities of respondents were non-manual workers (81%) and were born in Australia (78%). Just under half of the sample (46%) reported that they worked in organisations with 500 or more employees. Mean tenure was 8.46 years (SD = 8.02 years). Our sample over-estimates women and non-manual workers, particularly professionals—2001 Census figures indicate 45% of employed Australians were female and 70% worked in non-manual occupations—but is otherwise broadly representative of the labour force in terms of demographic characteristics. However, there is over-representation in some industries, with a large concentration in the health and education sectors (34% compared with 17% in the 2001 Census). Because of the skew across industries, the data were weighted by industry based on 2001 Census data, in order to compensate for sample non-response bias. The variables included in the regression analysis are described in the Appendix.

2.4 RESULTS

2.4.1 INCIDENCE AND LOCATION OF FREE-RIDING IN AUSTRALIA

Of those AWRPS respondents who had the opportunity to join a union at their workplace, 60.8% had done so. The remaining 39.2% may be regarded as 'technical free-riders' (placing Australian workers squarely between their British (35%) and New Zealand (45%) counterparts in this regard; Bryson, 2006). Using the 2004 Survey of Employee Earnings and Hours data, Peetz (2005, p. 717) found that 'it is likely that close to two-fifths of workers gaining the benefits of union-registered collective agreements are not union members'. We find that technical free-riding declines with age (from 51.4% for those up to 25 years, to 31.3% for those over 44 years), tenure (from 64.2% for those with less than one year's tenure with their current employer, to 20.8% for 11–20 years and 30.4% for more than 20 years) and income (from 53.3% for those with weekly income below $300, to 28.8% for those over $1000), and is greater amongst part-time (48.5%) than full-time workers (35.2%). Differences amongst other categories of workers are not statistically significant (at $p > .05$).

2.4.2 MOTIVATIONS FOR UNION BELONGING AND FREE-RIDING

We consider first the reasons given for joining by union members. They were asked how important each of six reasons had been in their joining decision. A large majority (73.6%) of respondents reported that 'you get better treatment if you have a problem at work' had been a very or quite important reason. Other surveys provide support for these findings (Peetz, 1998; Office of the Employment Advocate, 2004). Thus we find empirical support for the private incentive good motive for union joining. Although not an exact measure of social custom (q.v. Naylor & Cripps, pp. 1602–5), 42.3% of respondents cited 'my friends and colleagues were already union members' as important to some degree in deciding to join. Most support was found for an approach that has been described as 'instrumental collectivism' (Hyman, 1994), with 86.8% nominating 'the more people that join a trade union the more effective it is' as very or quite important. A substantial though lesser degree of sentimental collectivism was also found, with 58.8% stating that 'I would join any workplace union because I believe in unions' was important in their joining decision. Least support was found for the provision of financial services, with only 34.8% stating that it was important in their joining decision.

At the outset, we need to note that poor union organisation at workplace level is a factor in non-membership in unionised workplaces. Of those who knew whether they had been asked to join a union, 50.0% reported that they had not been (1.6% did not know or did not answer). Further, 25.5% of non-members in unionised workplaces stated that they were very or fairly likely to join the union at their workplace if asked.

AWRPS asked non-members in unionised workplaces how strongly they agreed with six reasons that people don't join unions (Table 1). We found a high level of 'calculating free-riding' amongst such respondents, with 51.7% saying that there is 'no point in joining since I get all the benefits anyway'. Substantial proportions, 55.6% and 48.9% respectively, nominated the level of membership fees or 'the union does not achieve anything I value' as reasons for not joining. For the former, it would appear that the costs of membership are greater than the benefits, and the latter may also be clearly identified as 'passive beneficiaries', in the sense that they do not receive, in their perception at least, a net benefit from being in a unionised workplace. The same is arguably true of the smaller proportion of non-members (22.1%) who reported that 'people doing my job don't join trade unions'.

The proportion expressing an ideological opposition to membership ('I don't believe in unions') was notably smaller (19.2%) than those who believe membership to be a poor bargain. A larger fraction of non-members (48.1%) agreed that 'unions do not cooperate enough for the good of the workplace' as a reason for not joining unions. This is consistent with a strong preference among AWRPS respondents for cooperative relations between employers and unions (Teicher et al., 2007). Overall, a high proportion of non-members nominated multiple reasons for not joining. Taken together, these findings suggest that many employees refrain from union membership after balancing the costs and benefits of belonging, taking into account monetary costs and the costs of conflict, as well as the various types of benefits delivered by the union. We may surmise that, at most, half of those technically free-riding are consciously avoiding paying for a benefit because they are able to, but many of these non-members may also perceive such benefits to be less than the costs of membership, or value them very little: 62.3% of those agreeing to some extent that there is no point joining their union because they get all the benefits anyway, also agreed to some extent that the union did not achieve anything that they valued.

Table 1: *Factors influencing Australian employees' decisions not to join a union (percent)*

	Strongly agree	Agree	Neither agree nor disagree	Disagree	Strongly disagree
Fee too high/ too expensive	19.6	36.0	14.3	29.4	0.8
People doing my job don't join unions	3.3	18.8	8.6	64.0	5.2
Union does not achieve anything I value	15.6	33.3	21.5	28.7	0.8
I get all the benefits anyway	9.7	42.0	16.7	30.8	0.9
I don't believe in unions	7.4	11.8	19.0	57.7	4.2
Unions do not cooperate enough	17.0	31.1	21.3	29.0	1.5

Source: AWRPS. *Note:* N=125–132; varies due to missing cases.

2.4.3 THE CORRELATES OF FREE-RIDING

We estimated the independent effects of potential explanatory variables for 'technical free-riding', or non-membership, using logistic regression. Non-members who stated that they were 'fairly likely' or 'very likely' to join a union if asked were excluded.[3] First, various personal and job characteristic variables, found to be significant in comparable analyses for the UK and New Zealand by Bryson (2006) and for New Zealand by Boxall et

[3] These non-members were included in the British and New Zealand analyses (Bryson, 2006; Boxall et al., 2007). However, including such non-members in the present analysis did not alter the findings.

al. (2007), were entered as a block. Only tenure was found to have a significant effect on free-riding behaviour at the .05 level; respondents with tenure of 5–9 years (p=.013) and more than 10 years (p<.001) being much less likely to free ride compared to those with fewer than two years. Taken together, these personal and job characteristics explained up to 29.2% of variation in free-riding behaviour.

Table 2: *Estimated effects of independent variables on free-riding: Final model*

Variable	B	SE	Wald	Sig.	Exp(*B*)	95% CI	
						Lower	Higher
Constant	1.91	2.96	.416	.519	6.75		
Org size (ref: 0–25 empl.)							
1000+	2.49	1.34	3.425	.064	12.03	0.86	167.58
Tenure (ref: ≤2 years)							
5–9 years	-2.13	.88	5.842	.016	.12	0.02	0.67
≥ 10 years	-2.86	.90	10.120	.001	.06	0.01	0.33
Education (ref: some secondary)							
Tertiary diploma	-2.84	1.08	7.002	.008	.06	0.01	0.48
Postgraduate qualification	-2.01	1.09	3.407	.065	.134	0.02	1.13
Workplace union density (ref: almost no members)							
Small minority	-2.90	1.13	6.552	.010	.06	0.01	0.51
About half	-3.85	1.19	10.387	.001	.02	0.00	0.22
Clear majority	-4.04	1.23	10.764	.001	.02	0.00	0.20
Almost all/all	-5.47	1.36	16.122	.000	.00	0.00	0.06
Perceived loss if no union (ref: A lot worse)							
A little worse	2.17	.66	10.753	.001	8.71	2.39	31.78
No difference	3.41	.64	28.378	.000	30.35	8.65	106.52
A little better	3.52	1.56	5.082	.024	33.63	1.58	714.71
A lot better	5.37	1.33	16.338	.000	215.39	15.92	2914.6
Mgmt attitude to unions (ref: in favour of unions)							
Don't know	-1.96	1.01	3.815	.051	.14	0.02	1.01
Needs index	-.069	.10	0.501	.479	.93	0.77	1.13
Political ideology	.004	.07	0.004	.952	1.00	0.88	1.14
Nagelkerke R^2	0.617						
-2 Log likelihood	180.799						

Source: AWRPS. *Notes:* N = 283. The following control variables were included but were not significant at the .10 level: gender, country of birth, age, work status (full-time/part-time), supervisory responsibility, career job, income, industry sector, and occupation.

Variables added in the second and final step measured reported workplace union density; union instrumentality (the extent to which the respondent believes that they would be better or worse off with no union in their workplace); an index of needs; perceived management attitudes to unions; and respondents' political ideology on a left-right scale. (See the appendix for details of the derivation of the scales.) Table 2 shows the findings for the final model. For brevity, only those control variables which reached significance at the 0.10 level are shown in the table (full results are available from the first author). Those variables not shown are listed in the note to the table. This model meets the Hosmer-Lemshow test for goodness of fit ($\chi^2(8) = 1.918$, p=.983) and improves the correct classification rate from an initial 71.0% to 84.5%.

Having longer tenure, a tertiary diploma, perceiving more of one's fellow workers to be union members, and valuing the presence of the workplace union were all found to predict lower levels of technical free-riding at the .05 level of significance. Political

ideology, as measured on a left-right scale, the index of 'needs', and management attitudes to unions (with the exception of those who did not know their managers' attitudes) were not found to have an independent effect on free-riding, contrary to the findings reported in the UK and New Zealand by Bryson (2006) and Boxall et al. (2007).

Our regression results bear out the point that free-riders generally value the benefits that derive from a union presence in the workplace less. There is little, if any, ideological basis for free-riding in Australia: lack of perceived benefits from a union presence explains a large proportion of the free-riding behaviour in Australian workplaces, rather than any widespread ideological antipathy towards unions. In addition, the impact of reported workplace union density is significant, perhaps reflecting the influence of social custom. On the other hand, personal characteristics do not play an important part in free-riding behaviour. With minor exception, when other variables are controlled for only tenure attains significance. That age is not significantly related to free-riding when tenure is controlled for suggests that it is tenure-related variation in the relative costs and benefits of union as opposed to exit voice that may explain union joining behaviour in unionised workplaces, as has been suggested elsewhere (Haynes et al., 2005).

3 CONCLUSIONS

Our analysis of free-riding in Australian workplaces confirms that large numbers—around two fifths—of Australian workers who have the opportunity to be members of their union do not join. Understanding the determinants of this non-membership is important, not only because free-riding undermines the role of unions and constrains renewal efforts, but because debates over union security have assumed greater importance under the restrictive and hostile legislative environment created by the Work Choices Act (2006).

In analysing employees' stated reasons for joining, we find support for the hypothesis that individualised and excludable benefits influence this decision—although not financial services to the same extent, a finding that challenges the rationale for providing such benefits as a means of reducing free riding—and for the social custom explanation of union joining. Employees' motivations for joining and not joining where there is a union present in the workplace are somewhat complex, with around half of those not joining doing so calculatedly, and about the same proportion reporting other motivations. When other variables are controlled for in the multivariate analysis, the picture becomes sharper still. Instrumentality prevails over the demographic and worker characteristics included in our analysis, with the exception of organisational tenure. The complexity of the reasons employees give for not joining the on-site union may reflect two key issues: the heterogeneity of workers, some of whom may benefit more from union activities than others, and second, the heterogeneity of unions, some of which appear more effective than others in delivering both collective and private incentive goods to workers. Critically, from a union renewal perspective, our findings also highlight ineffective workplace organisation as a major factor in explaining non-membership and in turn, the high incidence of free-riding.

Given the critical role workplace union representatives have been found to play in recruiting new members (Waddington & Whitson, 1997), Australian unions have the potential for membership gain by improving their workplace organisation. This strategy must be focused in two distinct ways. First and foremost, grass-roots organising must be employed to ensure that non-members are indeed asked and given the opportunity to join. Second, grass-roots organising and activism must be deployed to convince and demonstrate to employees that the costs of joining are worthwhile. As Cregan (2005) has argued, a core challenge of successful organising by Australian unions is the achievement of a transformation of workers' attitudes to union membership and its benefits, through the building of collectivist instincts. In this respect, our finding that ideological reasons are not a significant factor explaining the high levels of free-riding, underlines the point that union renewal efforts must focus on improving perceptions of union efficacy.

Unfortunately for Australian unions in the short-term, this task will be more difficult under the legislative environment created by the recent enactment of the Work Choices Act. Widely interpreted as an employers' charter (Stewart, 2006), this legislation further restricts and marginalises union bargaining, representation and organising rights (Forsyth & Sutherland, 2006). As a result, the challenge for unions is not only to convince employees of the benefits of joining, but to access them in the first place. To the extent that Australian unions draw on core reserves of support in partially and well organised workplaces, this task may be made easier. The responses of union members reported here provide some cause for optimism, as they indicate that Australian unions are effective in supplying excludable benefits around protection against arbitrary employer action or job insecurity. Unions, however, will need to look beyond these opportunities, embracing the full range of renewal strategies and tactics open to them, in order successfully to overcome high levels of free-riding. A key plank of an overarching renewal strategy, in an increasingly restrictive environment, will be convincing non-members that equitable and sustainable employment relationships are built around joint regulation, and that union voice has a key role to play in the nature of that regulation.

4 ACKNOWLEDGEMENTS

We thank, without implicating, Brian Cooper and Alan Lee for assistance with the dataset, and David Peetz, Alex Bryson and the two anonymous referees for comments on an earlier draft.

5 REFERENCES

Australian Bureau of Statistics (1983). Cat No. 6325.0, *Trade union members, Australia*. Canberra: Australia.

Australian Bureau of Statistics (1985). Cat No. 6315.0, *Incidence of industrial awards, determinations and collective agreements, Australia*. Canberra: Australia.

Australian Bureau of Statistics (1990). Cat No. 6325.0, *Trade union members Australia*. Canberra: Australia.

Australian Bureau of Statistics (1991). ABS Cat No. 6315.0, *Award coverage, Australia*. Canberra: Australia.

Australian Bureau of Statistics (2001). *Census of population and housing*. Canberra: Australia.

Australian Chamber of Commerce and Industry (2002) 'Unsatisfactory Impasse on Compulsory Union Bargaining Fees'. Media Release, 29 August 2002.

Booth, A. L. (1985). The free rider problem and a social custom theory of trade union membership. *The Quarterly Journal of Economics*, 100(1), 253–261.

Booth, A. L., & Chatterji, M. (1995). Union membership and wage bargaining when membership is not compulsory. *Economic Journal*, 105(429), 345–360.

Boxall, P., Haynes, P., & Macky, K. (2007). *Predictors of Union Belonging In New Zealand*. Paper to be presented to the Industrial Relations Academics of Australia and New Zealand Conference, *Diverging employment relations patterns in Australia and New Zealand?* Auckland, 7–9 February, 2007.

Bryson, A. (2006). *Union free-riding in Britain and New Zealand*. Discussion Paper No.713. London: Centre for Economic Performance, London School of Economics and Politics.

Bryson, A., & Gomez, R. (2002). *Why have workers stopped joining unions?* Discussion Paper No.589. London: Centre for Economic Performance, London School of Economics and Politics.

Charlwood, A. (2002). Why do non-union employees want to unionise? Evidence from Britain. *British Journal of Industrial Relations*, 40(3), 463–491.

Cregan, C. (2005). Can organizing work? An inductive analysis of individual attitudes toward union membership. *Industrial and Labor Relations Review*, 58(2), 282–304.

Forsyth, A., & Sutherland, C. (2006). From 'uncharted seas' to 'stormy waters': How will trade unions fare under the Work Choices legislation? *Economic and Labour Relations Review*, 16(2), 215–236.
Haynes, P., & Boxall, P. (2004). Free-riding in New Zealand: Incidence, motives and policy implications. *Labor and Industry*, 15(2), 47–63.
Haynes, P., Boxall, P., & Macky, K. (2003). *New Zealanders' influence at work: Report on the New Zealand Worker Representation and Participation Survey*. Auckland: University of Auckland Business School.
Haynes, P., Vowles, J., & Boxall, P. (2005). Explaining the younger-older worker union density gap: Evidence from New Zealand. *British Journal of Industrial Relations*, *43*, 93–116.
Holland, P. J. (1999). 'Organising Works': Meeting the challenge of declining trade union membership. *International Employment Relations Review*, 5(1), 63–74.
Hyman, R. (1994). Changing trade union identities and strategies. In R. Hyman & A. Ferner (Eds.) *New frontiers in European industrial relations* (pp. 108–139). Oxford: Blackwell.
Naylor, R. A., & Cripps, M. (1993). An economic theory of the open shop trade union. *European Economic Review*, 37(8), 1599–1620.
Office of the Employment Advocate (2004). *Freedom of association: A survey report, April 2004* http://www.oea.gov.au/docs/foa_report.pdf
O'Neill, S., & Shepherd, B. (2003). *Bargaining fees and workplace agreements*, Current Issues e-brief. Canberra: Parliamentary Library. http://www.aph.gov.au/library/intguide/ECON/Bargaining_Fees.htm
Olson, M. Jr (1965). *The logic of collective action: Public goods and the theory of groups.* Cambridge MA: Harvard University Press.
Orr, G. (2001). Agency shops in Australia? Compulsory bargaining fees, union (in)security and the rights of free-riders. *Australian Journal of Labor Law*, 14(1), 285–293.
Peetz, D. (1998). *Unions in a contrary world: The future of the Australian trade union movement*. Cambridge: Cambridge University Press.
Peetz, D. (2005). Co-operative values, institutions and free riding in Australia: Can it learn from Canada? *Relations Industrielles*, 60(4), 709–736.
Sobel, R.S. (1995). Empirical evidence on the union free-rider problem: Do right-to-work laws matter? *Journal of Labor Research*, 16(3), 347–365.
Stewart, A. (2006). Work Choices in overview: Big bang or slow burn? *Economic and Labour Relations Review*, 16(2), 25–50.
Teicher, J., Holland, P. J., Pyman, A., & Cooper, B. (2007). Australian workers: Finding their voice? In R. Freeman, P. Boxall & P. Haynes (Eds.) *What workers say: Employee voice in the Anglo-American world*. Ithaca, NY: Cornell University Press, forthcoming.
Waddington, J., & Whitson, C. (1997). Why do people join unions in a period of union decline? *British Journal of Industrial Relations*, 35(4), 515–546.

Appendix: Variables used in regression analysis

Union membership (Dependent variable) Coded: 0=member; 1=non-member (mean=.70). Note that non-members who reported that they would join a union if asked were excluded from the analysis.
Gender Coded: 0=female; 1=male (mean =.45).
Age Range: 18–72 years (mean=40.60, S.D.=11.81).
Pre-tax weekly income Coded 1=<$300p.w.; 2=$300-499p.w.; 3=$500-699p.w.; 4=$700-999p.w.; 5=$1000+p.w. (mean=3.70, S.D.=1.28).
Country of birth Respondents were asked which best described them: (1) born in Australia; (2) born in main English speaking countries; (3) born elsewhere.
Education Assessed highest level of education achieved. Categorised into (1) some secondary; (2) year 12 certificate; (3) technical or TAFE; (4) tertiary diploma; (5) university bachelors degree; (6) post-graduate degree; (7) other.

Work status Coded: 0 = part-time; 1 = full-time (mean=0.71).
Occupation Respondents were asked which best described their occupation: (1) managers & administrators; (2) professionals; (3) associate professionals; (4) tradespersons; (5) advanced clerical & service; (6) intermediate clerical & service; (7) intermediate production & transport; (8) elementary sales; (9) labourers.
Career job Respondents were asked: 'Thinking about your current occupation (rather than your employer), do you look upon it as part of your long term career, or a position that is not part of your long term career?' Coded: 0=part; 1=not part (mean=0.79).
Sector (1) agriculture, forestry, fishing; (2) manufacturing, mining, utilities; (3) private services; (4) public services.
Organisational size Respondents were asked, 'Including all its locations and work sites, not just your own, approximately how many people work for your employer, including paid employees both in Australia and overseas?' Coded 1 = 0–25; 2 = 26–50; 3 = 51–100; 4 = 101–100; 5 = 1000+ (mean=3.41, S.D.=1.73).
Job tenure Respondents were asked: 'How many years have you worked for the same employer?' Coded 1 = <2 years; 2 = 2–4 years; 3 = 5–9 years; 4 = 10+ years (mean=3.72, S.D.=1.52).
Perceived loss if no union Respondents were asked: 'Do you think that you personally would be better or worse off if there was *no* union, or would it make no difference.' Answers were on a 5-point scale: 1 = a lot worse, 5 = a lot better.
Management attitude to unions Respondents were asked: 'Would you say your managers are…? (1) in favour of unions; (2) neutral about unions; (3) or opposed to unions? (4) don't know.
Index of 'needs' This summary scale assigned one point each time a respondent awarded management a D or F grade for 'promoting equal opportunities for all employees', 'understanding and knowledge of the business', 'keeping everyone up to date with proposed changes', 'concern for employees', 'willingness to share power and authority with employees', 'making work interesting and enjoyable', or 'giving fair pay increases'. A point was also added each time respondents disagreed with the statements about 'working at [their] present workplace': 'managers here are understanding about employees having to meet family responsibilities', 'people working here are encouraged to develop their skills', 'my job is secure in this workplace', 'in general, relations between employees and management are good', 'I trust my employer to keep their promises to me and other employees', and 'I am satisfied with the influence I have in company decisions on my job or work life'. Using principal components analysis, all thirteen items were found to load onto a single factor with an Eigenvalue of 5.2 accounting for 39.8% of the total variance explained. The Cronbach alpha reliability coefficient of the scale is .871 (mean=2.25, S.D.=2.93). It was developed and found to associate with free-riding behaviour in the UK and New Zealand by Bryson (2006).
Political ideology Summary scale of attitudes to distributive justice derived from the answers to the question: 'How strongly do you agree or disagree with the following statements: (1) Management always tries to get the better of employees; (2) Big business benefits owners at the expense of employees; (3) There is one law for the rich and another for the poor; (4) Ordinary working people don't get a fair share of the nation's wealth; (5) Government should redistribute wealth from the rich to the poor?' Answers were on a 5-point scale: 1 = strongly agree, 5 = strongly disagree. The range of possible scores is from 5 to 25, with lower scores indicating more left-wing views. Using principal components analysis, all five items were found to load onto a single factor with an Eigenvalue of 2.5 accounting for 50.2% of the total variance explained. The Cronbach alpha reliability coefficient of the scale is .745 (mean=17.85, S.D.=3.77). The items in the scale are drawn from the British Social Attitudes Survey, are well validated, and have been shown to be independently associated with union membership in the UK (Charlwood, 2002; Bryson & Gomez, 2002).